Service Tax: Charged on services like telephone bill, insurance premium such as food bill in a restaurant etc.

9.9.10. Merits of Indirect Taxes

(1) Wider Coverage

All the consumers, whether they are rich or poor, have to pay indirect taxes. For this reason, it is said that indirect taxes can cover more people than direct taxes. For example, in India everybody pays indirect tax as against just 2 percent paying income tax.

(2) Equitable

The indirect tax satisfies the canon of equity when higher tax is imposed on luxuries used by rich people.

(3) Economical

Cost of collection is less as producers and retailers collect tax and pay to the Government. The traders act as honorary tax collectors.

(4) Checks harmful consumption

The Government imposes indirect taxes on those commodities which are harmful to health e.g. tobacco, liquor etc. They are known as sin taxes.

(5) Convenient

Indirect taxes are levied on commodities and services. Whenever consumers make purchase, they pay tax along with the price. They do not feel the pinch of paying tax.

9.9.11. Demerits of Indirect Taxes

(1) Higher Cost of Collection

The cost of collection of indirect taxes is higher than the direct taxes. The Government has to spend huge money to collect indirect taxes.

(2) Inelastic

Indirect taxes are less elastic compared to direct taxes, as indirect taxes are generally proportional.

(3) Regressive

Indirect taxes are sometimes unjust and regressive in nature since both rich and poor persons have to pay same amount as taxes irrespective of their income level.

(4) Uncertainty

The rise in indirect taxes increases the price and reduces the demand for goods. Therefore, the Government is uncertain about the expected revenue collection. So Dalton says under indirect taxes 2+2 is not 4 but 3 or even less than 3.

(5) No civic Consciousness

As the tax is hidden in price, the consumers are not aware of paying tax.

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